

London Petro Academy Ltd

Independent Power Producers (IPPs): Project Finance & Bankability in Emerging Markets

Structuring bankable IPP deals, modelling risk and securing
finance for power projects in emerging markets.



LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future

2026/2027

Website: www.londonpetroacademy.co.uk

Contact: info@londonpetroacademy.co.uk





Course Overview

This intensive, case-study-driven course on Independent Power Producers (IPPs): Project Finance & Bankability in Emerging Markets provides a practical, end-to-end understanding of how power projects are conceived, structured and financed under real-world emerging-market conditions. It begins with the power sector context: evolving market structures, the critical role of government, tendering approaches, tariff design, subsidy traps and regional power pools, showing how policy and regulation shape project risks and opportunities. Participants then move into project economics and finance, covering CAPEX and OPEX assessment, levelised cost of electricity, PPA bid pricing and the rationale for project finance versus balance-sheet funding. The course dives deeply into loan term sheets, capital stacks, cash-flow waterfalls, DSCR and coverage ratios, repayment structures and key bankability tests, using actual financial models and sample contracts. Throughout, a wide range of IPP case studies from Africa, Asia, Latin America and the Middle East are used to illustrate what has worked, what has failed and why, giving delegates a realistic toolkit for structuring resilient, financeable IPP transactions.

LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future



COURSE OBJECTIVES

LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future

By the end of this course, participants will be able to:

- Understand current power market dynamics in emerging economies and the main drivers, constraints and stakeholder motivations behind IPP programmes.
- Identify, evaluate and allocate key risks across the IPP lifecycle (development, construction, start-up, operations and decommissioning) and reflect them in project finance structures.
- Review and interpret power project financial models, calculate DSCR and other coverage ratios, and assess debt capacity, leverage and the impact on PPA tariffs and equity returns.
- Analyse and compare project finance term sheets for fuel-based and renewable IPPs, including conditions precedent, reserve accounts, security packages, covenants and hedging arrangements.
- Assess revenue and PPA-related risks, including curtailment, deemed energy, tariff indexation, currency and convertibility, and understand what makes a PPA “bankable” from a lender perspective.
- Map and utilise credit-enhancement instruments and support facilities (sovereign guarantees, PCAs/PCOAs, DFIs, political risk insurance, regional liquidity facilities and local-currency hedging) to help projects reach financial close.

These objectives are achieved through a mix of lectures, quantitative exercises, group work on risk assessment, and detailed analysis of real IPP case studies across multiple technologies and regions.

Course audience

This course is designed for professionals who develop, finance, invest in or regulate power projects in emerging markets and need a deep, practical understanding of IPP project finance and bankability. It is particularly relevant for project developers and sponsors, IPPs, utilities and grid operators, OEMs, EPC contractors and O&M service providers involved in structuring and delivering power assets. Private equity and institutional investors, development finance institutions, commercial lenders and credit/insurance providers will benefit from the focus on risk analysis, term sheets, credit enhancements and lender requirements. Legal, technical and insurance advisors, as well as government officials, regulators, and executives from oil and gas upstream, petrochemical and process industries, will gain insight into how financing realities intersect with policy, procurement design and long-term sector planning. Corporate procurement and contract managers and business developers working on large-scale energy off-take will also find the course valuable in understanding how their commercial decisions affect project bankability and investor appetite.





Power Sector Situation in Emerging Markets

- The critical role of the government in delivering an independent power project
- Evolving market structures and the creation of an enabling environment or messing it all up
- Desirability of unbundling and privatization under emerging market country conditions
- Energy system planning: supply and demand assessment and mix of fuel sources
- Procuring power through a public and competitive tender process or unsolicited proposals
- Short term political benefits vs long-term sustainable economic electricity supply
- From power scarcity to overcapacity the paradox of betting on electricity exports
- Regional power pools and integration to increase energy security and reduce costs
- The subsidy trap or quasi fiscal deficit and non-cost reflective tariffs of state-owned utilities
- The power black hole or technical and commercial losses from transmission and distribution

CASE STUDIES:

- a. Mexico power sector reform: from zero to heroe
- b. Vietnam's IPPs Sector Toward Market Liberalisation
- c. South Africa best practice IPP procurement program or not?

Power Economics and Electricity Tariffs

- The power project lifecycle and value creation from development to decommissioning
- Assessing capital and operational expenditures and allocating them over time
- Development costs and limitations to roll them into project financing
- Dispatchable and intermittent power generation and link to base and peak load
- Understanding availability, conversion efficiency, degradation and capacity factors
- Calculating Levelized Cost of Electricity and how it is impacted by cost of capital
- From project costs to PPA bid prices and the challenge of correct indexation

GROUP EXERCISE: Simulation and sensitivities of PPA bid prices based on different cost assumptions

Principles of Project Finance

- Rational for project financing structures as opposed to balance sheet financing
- What means a bankable project and how to understand and meet lender's ratios
- Private and public stakeholders of the project –contractors, agents, advisors, entities
- Allocating project risk or understanding each parties risk tolerance
- The capital stack and cash flow waterfall from Senior to Subordinated Debt to Equity
- Risk phases: Development, Construction, Start-up and Operations & Maintenance
- Trigger Points: Concession signing, Financial Close, Commercial Operation Date, End of Loan

GROUP EXERCISE: Risk scoping, assessment and mitigation of IPP case studies

1



Financial Sources

- Equity Sources for IPPs in Emerging Markets – who is investing when and where?
- The role of private developers, vendor financing, private equity and institutional investors
- Understanding investment criteria, exit horizon and how to raise funds
- Overview of Development Finance Institutions, Multilateral banks and Export Credit Agencies and their initiatives and programs
- Capital Markets for project bonds, YieldCo and refinancing commercial loans

CASE STUDY: Analysing the business model of Scatec Solar and competitive mapping of IPP investors along the lifecycle of a project

Understanding the elements of a term sheet for a loan credit facility

- Conditions Precedents – pre-requisites to the first drawdown
- Capital injections into the project, pro rata basis and the drawdown schedule
- Covenants, Undertakings and the concept of Sources and Uses
- Milestones from financial close, commitment period, grace period to maturity
- Structure of major reserve accounts for debt service, maintenance and dividends
- Cash Sweeps, Cash Traps and Dividend Blockers and how they damage equity returns
- Security documents – mortgages, pledges, assignments, charges and liens
- Limited-recourse or stand-by equity and parent company guarantees
- Claw-back requirements of distributed dividends
- Pre-payment penalties or built-in incentives of refinancing of outstanding debt
- Fixed interest or “floating” interest rates, banking fees, margins and commissions
- Hedging risks of foreign exchange, interest rates and commodity price movements

GROUP WORK: Critical revision of loan term sheets for a natural gas power plant, solar PV plant and wind power project

Financial Analysis and Structuring

- Calculating the Debt Service Cover Ratio (DSCR) from the cash flow waterfall
- How the cash flow prediction, the DSCR and loan tenor drives overall debt capacity
- Difference between minimum and average DSCR over the loan life of the project
- Calculating Loan Life and Project Life Cover Ratios and comparing them to DSCR
- Different repayment structures from linear, annuity and debt sculpting
- Debt-carrying capacity and the resulting leverage impact on PPA tariffs
- Beyond gearing – what drives and what not Project and Equity NPV and IRR?
- Limiting factors on loan tenors from project contracts to regulatory restrictions

GROUP EXERCISE: Sensitivity & scenario analysis applying to CAPEX, OPEX and revenue variations between a renewable and fuel based power project

Revenues Risks and Power Purchase Agreements

- Requisites of a bankable PPA and tariff structures
- Grid connection, Curtailment and Deemed Energy provisions
- The tariff triangle or the pricing of risks by investors, lenders and offtakers
- Misallocated risk or the danger of project abandonment and cancellation of PPA
- Changes of Law/ Tax, Political Force Majeure and Pre-existing Environmental Conditions
- Stabilization Clauses, cost-sharing mechanism and extension of time
- Currency devaluation and convertibility, mismatch between financing and revenues
- Possibility of wheeling arrangements as crucial project finance enhancer
- Direct Agreements and Lender's Step-In rights
- Elements for Termination Payment Calculation

CASE STUDY: Lake Turkana Wind Project in Kenia and the trouble of Deemed Energy Payments

Construction Risks and EPC contracts

- Typical sequence of principal events during EPC contracts
- Critical interface to fuel supply and grid connection construction milestones
- Delays and cost overruns for power projects
- Performance guarantees and bonds
- Liquidated Damages and Caps on liability
- Prolonged Force Majeure & Termination
- Test on Completion and hand over
- Requirements of a bankable insurance program for contractors and the IPP

CASE STUDY: Cenpower Kpone Natural Gas IPP in Ghana and Group Five Contractor disputes

Credit Enhancement Instruments to help reach financial close

- Sovereign Guarantees for Payment Obligations of a State-Owned Offtaker
- Put and Call Option Agreement (PCOA) between host country and project shareholder
- Liquidity Letter of Credit and Escrow Accounts as short term liquidity facilities
- IMF Risk Analysis and Government Guarantees or other Sovereign Credit Support
- Partial Risk Guarantee and the requirements of an indemnity agreement
- Political Risk Insurance from MIGA, OPIC, ATI, EIB covering debt and equity providers
- ATI's Regional Liquidity Support Facility (RLSF) and African Energy Guarantee Facility (AEGF)
- Local currency lending and hedging from GuarantCo and TCX

GROUP WORK: Mapping of Initiatives, Facilities and Programs available to emerging market power projects and how they can help to create a successful project set-up

This course is available In-House and can be tailored to your specific requirements.



LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future

Touchpoints

For more information, please contact us on:

+44 (0) 1582 516247

Alternatively, you can email us at info@londonpetroacademy.co.uk

Question about this course?

Call us on +44 (0) 1582 516247 and one of our representatives will assist you with your enquiry.

3 Easy ways to register

Online: www.londonpetroacademy.co.uk

Email: info@londonpetroacademy.co.uk

Tel: +44 (0) 1582 516247



LONDON PETRO ACADEMY
Empowering Professionals for a Sustainable Future

Contact us

Phone Number : +44 (0) 1582 516247

Website : www.londonpetroacademy.co.uk

Email Address : info@londonpetroacademy.co.uk

London Petro Academy Limited 3rd Floor, 207 Regent Street, W1B3HH, London, United Kingdom
Registered in England & Wales No. 09875694 Company VAT Number : 267 3190 90

© 2026 London Petro Academy Ltd · All rights reserved